

Contractor vetting checklists, contract templates, payment protection frameworks, red flag guides — Action Checklist

PRINT THIS PAGE AND KEEP IT SOMEWHERE VISIBLE

VERIFY BEFORE YOU COMMIT

- ☐ **Verify the contractor's license through your state contractor licensing board and check for disciplinary history, bonding, and insurance details (15 minutes):** Verify the contractor's license through your state contractor licensing board and check for disciplinary history, bonding, and insurance details (15 minutes)
- ☐ **Search your county clerk's website for UCC filings and mechanic's liens against the contractor's business name, legal name, and any DBA entries (20 minutes):** Search your county clerk's website for UCC filings and mechanic's liens against the contractor's business name, legal name, and any DBA entries (20 minutes)
- ☐ **Call the insurance company directly using their website number to confirm the contractor has an active policy in effect—do not trust paper certificates alone (10 minutes):** Call the insurance company directly using their website number to confirm the contractor has an active policy in effect—do not trust paper certificates alone (10 minutes)
- ☐ **Cross-reference state and federal court PACER databases for breach of contract lawsuits, construction defect claims, and mechanic's lien filings against the contractor (15 minutes):** Cross-reference state and federal court PACER databases for breach of contract lawsuits, construction defect claims, and mechanic's lien filings against the contractor (15 minutes)

ASSESS AND DECIDE

- ☐ **Check your Secretary of State business database to confirm when the company was formed, who owns it, and whether it maintains good standing status (10 minutes):** Check your Secretary of State business database to confirm when the company was formed, who owns it, and whether it maintains good standing status (10 minutes)
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- **Read contractor reviews for signal not noise—five-star ratings do not guarantee competence or honesty, and one-star reviews might reflect legitimate disputes over out-of-scope charges rather than poor work quality:** Read contractor reviews for signal not noise—five-star ratings do not guarantee competence or honesty, and one-star reviews might reflect legitimate disputes over out-of-scope charges rather than poor work quality

- **Score all vetting findings into Low/Medium/High risk categories and walk away from any contractor with active liens, multiple recent lawsuits, or unconfirmed insurance coverage:** Score all vetting findings into Low/Medium/High risk categories and walk away from any contractor with active liens, multiple recent lawsuits, or unconfirmed insurance coverage

- **Document everything discovered during vetting and any explanations the contractor provides for red flags you encounter in writing so you have a record if disputes arise:** Document everything discovered during vetting and any explanations the contractor provides for red flags you encounter in writing so you have a record if disputes arise

PROTECT EVERY PAYMENT

- **Include contract clauses that specify exactly what work is included, which materials will be used, and what charges the contractor intends to pass through to avoid surprise extras:** Include contract clauses that specify exactly what work is included, which materials will be used, and what charges the contractor intends to pass through to avoid surprise extras

- **Structure payments so no more than 10-30% is paid upfront, with remaining payments tied to documented completion milestones rather than timeframes:** Structure payments so no more than 10-30% is paid upfront, with remaining payments tied to documented completion milestones rather than timeframes

- **Require written change orders for any work outside the original scope, signed by both parties before extra charges are incurred so verbal agreements cannot be disputed later:** Require written change orders for any work outside the original scope, signed by both parties before extra charges are incurred so verbal agreements cannot be disputed later

- **Retain copies of all signed contracts, payment receipts, change orders, and email or text communications with the contractor in case disputes arise months or years later:** Retain copies of all signed contracts, payment receipts, change orders, and email or text communications with the contractor in case disputes arise months or years later